

It is not just about Money

■ By Malini Bhupta

From the time India opened its policy doors, aerated colas and trans-fat laden burgers are not the only things to have found their way into the country. Along with multinational jobs, came a whole lot of management jargon like retention, attrition, compensation and recognition rewards. But in an emerging economy, which is clocking over 9 per cent growth and hiring several thousand employees every quarter, the generally-accepted rules of attrition don't hold true.

Vanilla salaries are so old economy. Marriage allowances, birthday rewards, recognition awards, foreign holidays, sign-on bonuses, loyalty bonuses and targeted skill bonuses are the new compensation tools companies are using to retain employees. If you have a reason, companies have the money to shower on you. While this may sound like music to employees, for India Inc it's time to think of structuring organisations that can deal with a populace which is young and loves to experiment with its professional life as

much as it likes to experiment with its technology toys. Says Ramkumar: "Youngsters will experiment, there's no stopping that."

Innovative compensation tools like overseas trips, bonuses and ESOPs were par for the course for the senior and top management but today these are being extended to all levels including even the clerical staff at times. Explains Bharti Airtel's Krish Shankar, director, HR: "In order to facilitate the joining of the new employee sooner, sign-on bonuses are paid to compensate for what he/she might lose in the other organisation. Senior management anyway comes with huge lock-ins."

Yet, none of these tools have helped arrest attrition which is as high as 25 per cent even in a mature industry like consumer durables. Face it: you could be the best workplace in the world, but don't expect employee loyalty. From fast-track career paths, global salaries, music rooms to gyms, India Inc has been pulling out all stops to contain attrition but all has failed as the rate, shows Watson Wyatt's survey, continues to be as high as 16 per cent across industries. And in sunrise sectors like IT and

India Inc is pulling out all stops. It is using a mix of fast-track career paths, global salaries, stock options, performance bonuses, music rooms and gyms to retain talent.

"A lot of sectors address skill shortage by increasing wages. The key is to increase supply."

K. RAM KUMAR
SENIOR GM, ICICI BANK



85.7% companies give faster growth opportunities to their supervisory level.

